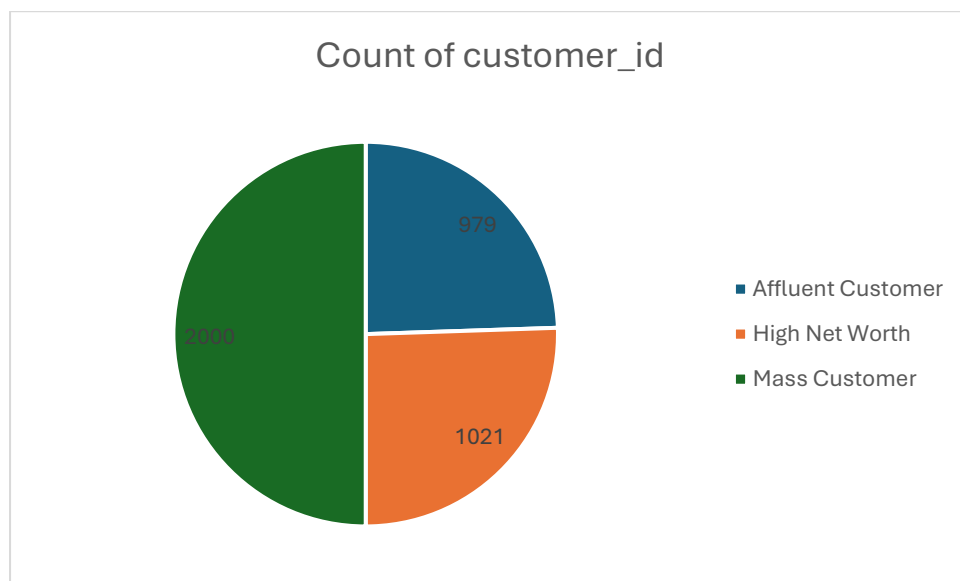


Task 6: Executive Summary and Recommendations

1. Summary of Key Insights

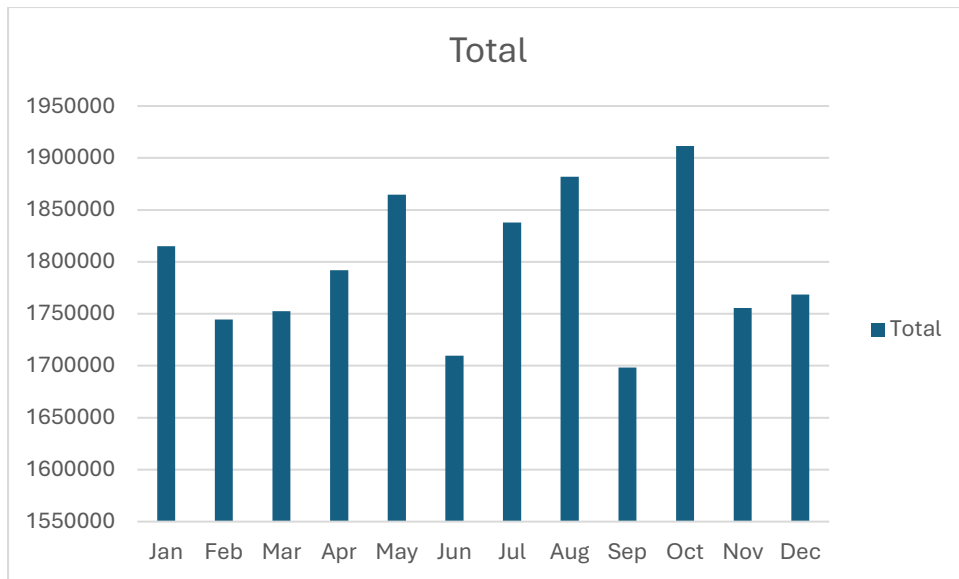
Customer Segmentation & Demographics

- **Dominant Wealth Segment:** The "Mass Customer" segment is the largest, accounting for **50% of the customer base** (2,000 customers). It is also the most valuable segment in terms of Average Customer Lifetime Value (CLV) at **\$73,866**.
- **Top Industries:** The majority of customers work in **Manufacturing (799)**, **Financial Services (774)**, and **Health (602)**.
- **Tenure:** Customer loyalty is consistent across all wealth segments, with an average tenure of approximately **10.6 years**.



Transaction & Product Analysis

- **Seasonality:** Sales performance is very seasonal, with October and August being the months with the highest sales, at \$1.91 million and \$1.88M, respectively. The months with the lowest sales are September and June.
- **Top Performers:** The top three brands based on revenue are Solex, at \$4.4 million; WeareA2B, at \$4.1M; and Giant Bicycles, at \$4.0M.
- **Product Preferences:** The revenue generated by the "Standard" product line is \$15.3M, significantly more than the revenues generated by the Road and Touring product lines, at \$3.9 million and \$1.9M, respectively).
- **Pricing:** The average list price of "Touring" bikes is approximately \$1,618, while the average list price of "Standard" bikes is approximately \$1,102, which reflects the higher pricing of "Touring" bikes.



New Customer Insights

- **Geographic Hotspots:** New customer acquisition is strongest in **New South Wales (NSW)**, which accounts for roughly **50% of new customers** (506), followed by Victoria (VIC) and Queensland (QLD).
- **Wealth Indicators:** New customers in the "High Net Worth" segment have the highest average property valuation (**9**), compared to Mass Customers (7.5) and Affluent Customers (6).

Customer Lifetime Value (CLV) Analysis

- **High-Value Industries:** Customers working in the **Entertainment** sector have the highest Average CLV (**\$92,439**), followed by **Retail** (\$80,798) and **Property** (\$79,553).
- **Underperformers:** The Telecommunications industry shows the lowest CLV (\$47,246), indicating lower long-term profitability from this group.

2. Recommendations

Marketing Strategies for High-Value Segments

- **Target the "Mass Customer" Segment:** Since this group has the highest CLV and makes up 50% of the base, marketing efforts should prioritize volume strategies (e.g., loyalty programs, bundles) rather than niche exclusivity.
- **Targeted Campaigns:** campaigns designed specifically for the Entertainment and Retail industries will target these two groups. These are small groups but have higher CLV's relative to their purchase volume suggesting that they are likely to respond more to price than to up-selling.
- **Seasonal Promotions:** August and October have natural peaks for these businesses so targeting may be strategically planned for both months to capture this increased sales activity. Early bird and clearance sales could help smooth out revenue decreases in June and September.

Business Expansion

- **Focus on New South Wales (NSW):** With 50% of new customers originating here, logistics and inventory distribution centers should be optimized in NSW to ensure fast delivery and customer satisfaction.
- **Premium Offering for High Net Worth:** Leverage the high property valuation data of "High Net Worth" new customers by marketing higher-end product lines (specifically the **Touring** category, which has the highest price point) to this demographic in affluent zip codes.

Product Offering Improvements

- **Managing inventory:** Our priority is to keep plenty of stock in the "Standard" product line, as it generates the majority of our revenue (15.3 million dollars). Running out of stock in this category would significantly harm our bottom line.
- **Building relationships with brand partners:** Building stronger relationships with brands that sell their products through us (like Solex and We create A2B) will help us negotiate better margins and/or exclusivity with those brands, which are both key drivers of revenue.
- **Rebranding the "Mountain" Line:** Currently, the Mountain product line produces quite a bit less revenue (approximately 262 thousand dollars) than the other product lines. Determine if there are good reasons to discontinue the Mountain product line to reduce costs or whether we should include the Mountain Product Line as an additional product line, but rather as a new brand focused on specific demographics within the outdoor space located in Qld and Vc.